WORKSHEET

# Simple interest 2

One of the most important uses of percentages is in the business world, particularly in calculating interest.
**Interest is a fee charged for using other people's money.**
When you deposit money in the bank, the bank pays you interest, and when you borrow money, you pay interest to the bank. The interest payable is worked out using percentages.
In these questions we will be using a simplified type of interest called **simple interest**.

**1** Find the simple interest on:

**a** $400 at 5% per annum for 2 years

**b** $3600 at 12% per annum for 5 years

**c** $8500 at 8% per annum for 3 years

**d** $13 100 at 11% per annum for 2 years

**e** $5000 at 18% per annum for 27 months

**2** Frank invested $1200 for 2 years at 6% per annum. How much interest will he receive?

**3** Mrs Mitchell took a loan from a credit union for $15 000 and agreed to pay it off in 3 years. How much interest will she pay if interest is charged at the rate of 10.5% per annum?

**4** Christina wishes to buy a garden shed, but cannot afford to pay the full price of $399. She pays a deposit of $99, borrows the rest, and pays the loan off in 12 equal instalments.

**a** What is the balance owed after paying the deposit?

**b** Interest is charged at 16% per annum. How much interest does she pay?

**c** How much will Christina pay each month?

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**5** Anne borrows $3800 to buy a car with 15% per annum simple interest for 2 years.

**a** How much interest will Anne pay?

**b** How much did Anne really pay for the car?

**6** An amount of money earns $450 as interest at 15% over 1 year. How much money was invested?

**7** A loan is taken out over 3 years at 12% per annum. Interest over the 3 years was $2448. Find the original amount borrowed.

**8** Spiro invested $3500 over 5 years and earned $1575 in interest. What was the annual interest rate?

**9** Ed invested $12 000 for 8 months at 5.9% per annum. How much interest will he receive?

**10** Vera borrowed $8500 at 10.4% per annum simple interest over 30 months. How much interest did she pay?

**11** Peter's credit card has an interest rate of 13.5% per annum. Calculate, to the nearest cent, the simple interest on $869 for 40 days.

**12** Calculate the interest earned on an investment of $9450 at 0.95% per month over 6 months.

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## Answers

**1** **a** $40 **b** $2160 **c** $2040 **d** $2882
**e** $2025

**2** $144

**3** $4725

**4** **a** $300 **b** $48 **c** $29

**5** **a** $1140 **b** $4940

**6** $3000

**7** $6800

**8** 9%

**9** $472

**10** $2210

**11** $12.86

**12** $538.65